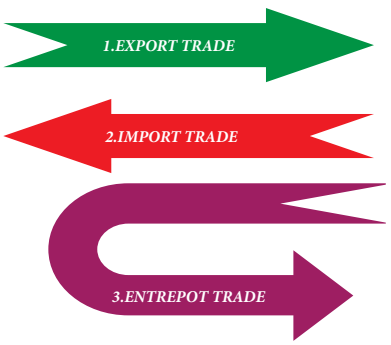
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5. Business System	Domestic business is governed by the rules, laws, policies taxation system of a single country	International business is governed by rules, laws and policies ,tariffs and quotas etc., of multiple countries
6. Currency Used	Domestic business transactions are settled by local currency of a country.	International business transactions are settled by foreign currencies.
7. Mode of Transport	The goods involved in domestic business are mainly transported by roadways and railways.	The goods involved in international business is mainly transported by water and airways.
8. Risk Exposure	The risks involved in domestic business are relatively less.	The risks involved in international business are more due to distance, difference in socio-economic and political conditions. change in foreign exchanges value, etc.,
9. Scope of Market	The scope of market is limited to national boundaries of a country.	The scope of international business is very wide and extends beyond the frontiers of a country.
10. Payment of Excise duty	Payment of excise duty involves simple procedures and it is relatively low in domestic trade	The process of payment of excise is complicated in international business and the rate of excise duty is relatively high.

other countries and export the goods which bring them better prices to other countries.

25.07 Types of International Business

On the basis of sale and purchase of goods and services, international trade can be divided into three kinds. They are export trade, import trade and entrepot trade. It has been exhibited in the chart drawn below



These trades are briefly stated hereunder

A) Export Trade

When the firm of country sells goods and services to a firm of another country it is called export trade. Export trade indicates selling of goods and services from the home country to a foreign country. For Example; the sale of handicraft, leather products, electronic goods, herbal products, etc., by Indian company to other countries is known as export trade.

B) Import Trade

When the business firm of a country purchases goods from the firm of another country it is called import trade. Importing means purchase of foreign products and